

Why Do I Need to Understand This?

Before we dive into the specific steps you need to take to make smart investments, we need to answer some basic questions: what is investing, and why should we do it? Simply put, investing is putting your money or resources into something with the hope that you will get more money or resources in return. A college education is an example of an investment. You pay a certain amount of money in exchange for an education that will hopefully help you make more money in the future. It costs you money now, but in the long run it will ideally make you more money.

But why should we invest? The short answer is because investing helps you grow your wealth more quickly and efficiently. If you choose not to invest, you will probably put your money into a savings account at a bank instead.³⁷ If you do this, your money will be safe, but it will hardly grow. As of August 2020, the average interest rate for a savings account in America is 0.06%³⁸ (this rate fluctuates). This means if you put \$1,000 into a savings account, the average bank is going to pay you a whopping \$6 over the course of a year. In contrast, the average return on the S&P 500 (the stock market) is about 8% since 1957.³⁹ So that same \$1,000 invested in the market would, on average, get you \$80 in a year.

This chapter is going to cover investing in the stock market. It will not tell you which specific stocks to invest in or how to

37 Technically, because your bank pays you interest, using a savings account is a form of investing—but one that provides an incredibly small return on investment.

38 “Weekly National Rates and Rate Caps—Weekly Update,” Federal Deposit Insurance Corporation, accessed August 2020, <https://www.fdic.gov/regulations/resources/rates>.

39 J.B. Maverick, “What Is the Average Annual Return for the S&P 500?,” Investopedia, February 19, 2020, <https://www.investopedia.com/ask/answers/042415/what-average-annual-return-sp-500.asp>.